EXECUTIVE SUMMARY

A. Introduction

Buguey was founded and created on May 20, 1623 as a town by virtue of Royal Decree issued by the King of Spain. The municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the municipality of Lal-lo, on the east by the municipality of Sta Teresita (former part of Buguey) and on the west by the municipality of Aparri.

The audit covered the accounts and operations of the Municipality of Buguey for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018 were P206,160,759.80, P80,206,028.81 and P125,954,730.99 with an increase in assets, liabilities, government equity of 13.14%, 31.17%, and 4.04% respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P111,940,552.19 and P105,897,261.93 which increased by 6.57% and 13.86%, respectively, from last year's figures.

	2018	2017	Increase (Decrease)	
			Amount	%
Financial Condition				
Assets	206,160,759.80	P182,212,018.97	23,948,740.83	13.14%
Liabilities	80,206,028.81	61,146,813.57	19,059,215.24	31.17%
Government Equity	125,954,730.99	121,065,205.40	4,889,525.59	4.04%
Results of Operation				
Total Income	111,940,552.19	105,039,968.71	6,900,583.48	6.57%
Total Expenses	105,897,261.93	93,003,220.18	12,894,041.75	13.86%
Appropriations, Allotments and Obligations				
Appropriations-Current	171,066,183.65	121,141,557.00	49,924,626.65	41.21%
Appropriations-Continuing	9,439,366.38	5,468,374.73	3,970,991.65	72.62%
Allotments-Current	171,066,183.65	121,141,557.00	49,924,626.65	41.21%
Allotments-Continuing	9,439,366.38	5,431,292.73	4,008,073.65	73.80%
Obligations-Current	112,938,431.08	110,254,270.97	2,684,160.11	2.43%
Obligations-Continuing	3,668,711.68	2,960,532.67	708,179.01	23.92%

C. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of the financial statements as at December 31, 2018 due to the following:

1. The municipality was not able to comply with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 as required under Item IX of COA Circular No.2015-008 dated November 23, 2015 due to incomplete Inventory Report, thus affecting the fair presentation of the "Road Network" account amounting to P16,109,241.62 as at December 31, 2018.

2. Fire truck procured in CY 2018 amounting to P5.6 million was not recorded in the books of accounts of the Municipality and the corresponding depreciation expense and accumulated depreciation were not also recognized as at year-end contrary to International Public Sector Accounting Standards (IPSASs) 1 and 17 thus, affecting the fair presentation of the financial statements. Likewise, several properties amounting to P20.15 million were reported under Trust Fund instead of General Fund.

D. Summary of Significant Audit Observations and Recommendations

1. The municipality was not able to comply with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 as required under Item IX of COA Circular No.2015-008 dated November 23, 2015 due to incomplete Inventory Report, thus affecting the fair presentation of the "Road Network" account amounting to P16,109,241.62 as at December 31, 2018.

   We recommended that management strictly comply with the guidelines embodied in the COA Circular NO 2015-008 dated November 25, 2015 by ensuring the following:

   a. General Service Officer maintains and updates a Local Road Inventory and Road Map and keep a complete Local Road Network Property Card for all road and its component

   b. Municipal Engineer provides the Municipal Accountant and the General Services Officer with the complete description and cost segregation of road components of road projects

   c. Municipal Accountant ensures compliance with the transitory provisions of the Circular by updating the records of the Road Network account and keeps and maintains subsidiary records for roads and road components for every road network.

2. Fire truck procured in CY 2018 amounting to P5.6 million was not recorded in the books of accounts of the Municipality and the corresponding depreciation expense and accumulated depreciation were not also recognized as at year-end contrary to International Public Sector Accounting Standards (IPSASs) 1 and 17 thus, affecting the fair presentation of the financial statements. Likewise, several properties amounting to P20.15 million were reported under Trust Fund instead of General Fund.

   We recommended that the Municipal Accountant immediately record in the books of accounts of the LGU the fire truck amounting to P5.6 million and compute and record the corresponding depreciation expense for CY 2018 for PPE amounting to P14.67 million comprising the fire truck, motor vehicle and medical equipment.

   Further, we recommended that the Municipal Accountant transfer the PPE amounting to P20,148,244.42 reported under the Trust Fund to the General Fund.

3. The Advances for Officers and Employees amounting to P2,135,576.70, aging two (2) & more remained unliquidated as of year-end contrary to COA Circular No. 97-002 dated February 10, 1997 and Section 89 of PD 1445, thus, expenses were not recognized during the year of incurrence thereby overstating assets and understating recorded expenses in the year they were incurred and exposing funds to risk of possible losses thru theft, loss or misuse.

   We recommended that the Local Chief Executive:

   a. Initiate collection measure to recover the aging and dormant account from persons liable and;

   b. Strictly abide with the provisions of Section 89 of PD No. 1445 particularly on the granting, utilization and liquidation of cash advances by requiring the concerned officials and employees to submit immediately the complete supporting documents for the liquidation of cash advances and to avoid the grant of additional cash advance to officials and employees unless the previous cash advance is liquidated or a proper accounting thereof is made.

E. Summary of Total Suspensions, Disallowances and Charges

There are no unsettled Audit Suspensions, Disallowances and Charges as at December 31, 2018.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of eighteen (18) audit recommendations embodied in the 2017 Annual Audit Report, nine (9) were fully implemented, two (2) were partially implemented and seven (7) were not implemented as of December 31, 2018.